

Morning Briefing | Thursday 1 October 2026

London pre-open

1. HEADER

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Generated 06:30 BST (05:30 UTC) | Timezone: London (BST, UTC+1)

Data collected by automated web search between 05:15 and 05:30 UTC. Asian session still open for Japan and Korea at collection time. Hong Kong and mainland China are closed on 1 October (National Day), so no fresh data is shown for them.

2. IMPORTANT NEWS

Euro-area national CPI prints hot ahead of Friday's flash (FXStreet / Euronews)

Germany, France, Italy and Spain all came above forecast; Spain at 5%. Euro-zone flash CPI due Friday, forecast 3.6%. Raises odds of another ECB hike and weighed on the euro.

US PCE inflation cools to 3.4% in August vs 3.7% expected (Yahoo Finance / CNBC)

Softer than expected. Cools the case for another Fed hike after the 25bp September move to 3.75%-4.00%. Fed's Williams sees no urgency, one more hike possible late 2026.

Berlin sets conditions for UniCredit control of Commerzbank (Bloomberg / Yahoo Finance)

Listing, Frankfurt HQ, SME lending and jobs commitments sought. UniCredit holds just under 50% of Commerzbank. Key for European banks.

Hormuz crude flows back near pre-war levels (Bloomberg / CNBC)

Saudi pipeline flows resumed and Hormuz crude exports at about 13.5m bpd. Oil is steadier but Brent is still near 97 to 98 dollars and tanker insurance remains elevated.

US 10Y yield at 5.29%, highest in about 19 years (Trading Economics / CNBC)

Dow and S&P posted monthly losses in September. Higher yields keep pressure on equity valuations and credit.

3. EUROPEAN FUTURES (PRE-OPEN)

Contract	Indicated move (IG)	Implied direction
DAX futures	+175 pts	+
CAC 40 futures	+48 pts	+
FTSE 100 futures	+65 pts	+
Euro Stoxx 50 futures	n/a	n/a

US futures	Level / move	Note
S&P 500 futures	+0.53% (level quoted 7,756.75, unverified vs cash 7,651.54)	Single source
Nasdaq 100 futures	+0.2% premarket	Bloomberg
Dow futures	+0.33% (51,448.00 quoted)	Single source

Collected about 05:20 UTC. European moves are IG spread-bet indications in points from the prior close, shown without a % conversion. Some source text referenced Williams comments, consistent with 29 Sep news, so timing of the quote is not fully confirmed.

4. YESTERDAY'S CLOSES

Index	Close	% change
Euro Stoxx 50	6,269.02	-0.81%
DAX	25,199.19	-0.79%
CAC 40	7,964.51	-0.89%
FTSE 100	10,606.00	-0.29%

30 Sep close. Indices opened higher (STOXX 600 +0.7% on tech) but faded on hot national CPI and high bond yields. FTSE 100 fell for a third session, weakest close since at least mid-September. STOXX 600 on track for about -2% in September, first monthly fall in six months. Collected about 05:20 UTC.

5. US MARKETS — YESTERDAY'S SESSION

Index	Close	% change
S&P 500	7,651.54	-0.25%
Dow Jones	50,906.05 (-443.87 pts)	-0.86%
Nasdaq Composite	26,861.06	+0.24%

Tone: mixed. PCE came in softer than expected, but Treasury yields kept climbing (10Y 5.29%). Tech was the bright spot, helped by Trump saying tech leaders agreed voluntary AI safety standards. Sector detail beyond tech: n/a.

Takeaway: September ended with monthly losses of 4.9% for the Dow and 0.7% for the S&P 500, while the Nasdaq gained 1.7%. Rotation into tech, out of cyclical and value. Micron reported after the close (result n/a at collection).

Source: ABC News/AP, CNBC, Yahoo Finance via search. Collected about 05:20 UTC.

6. ASIAN MARKETS — OVERNIGHT SESSION

Index	Level	% change	Status
Nikkei 225	68,700 (approx.)	+2.92%	Intraday, single source, verify
Hang Seng	n/a	n/a	Hong Kong closed (National Day); search figure 24,613.27 unverified
Shanghai Composite	n/a	n/a	China closed (National Day); search figure 3,842.20 unverified
Kospi	6,838.04	-0.48%	Intraday, single source, verify

Tone: Japan strong, Korea slightly softer. Drivers: tech rebound after the US session and softer US PCE. Collected about 05:25 UTC while Tokyo and Seoul were still trading.

7. COMMODITIES

Commodity	Level	Change	Note
Brent	97.09 USD/bbl (30 Sep)	+0.97%	One source quotes about 98.03 (+1.94%) on 1 Oct and another about 103 for an earlier settle; verify
WTI	90.60 USD/bbl (30 Sep close)	n/a	Slipped toward 89 after a 3.5% drop on 29 Sep
Gold	4,166.60 USD/oz	-0.37%	Near multi-month lows
Natural gas	3.0413 (US, USD/MMBtu assumed)	+1.01%	European gas n/a
Copper	6.56 USD/lb	+0.29%	

Oil context: Hormuz crude flows have recovered to about pre-war levels and Saudi pipeline exports resumed, but Iran has not softened its demands and tanker insurance costs stay high.

Collected about 05:20 UTC. Source: Trading Economics, Bloomberg, CNBC via search.

8. RATES & FX

Instrument	Level	Change
US 10Y yield	5.29%	+4 bp
German 10Y Bund yield	3.57%	-4 bp
EUR/USD	1.1339	-0.02%
GBP/USD	1.3263	n/a
DXY	101.41	+0.25%

30 Sep levels. Euro at one-month low area (-2.4% over a month) after hot national CPI. Fed funds now 3.75%-4.00% after the September hike. Collected about 05:20 UTC.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

Issuer	Size	Maturity	Pricing	Book / note
ESB Finance DAC (green, IG utility)	EUR 500m	10y	MS+92bp	EUR 2.2bn book, 4.4x cover; IPT n/a; date not confirmed
BAWAG Group (senior unsecured, financial)	EUR 500m	5NC4, due 29 Sep 2031	MS+85bp	IPT n/a; date not confirmed

Full 30 Sep league of deals not retrievable (IFR and GlobalCapital are paywalled). The two deals above are the most recent sourced EUR IG prints and may not all have priced on 30 Sep.

PIPELINE / EXPECTED TODAY

n/a. No sourced mandate list for 1 October. Quarter start typically reopens supply after the month-end lull; verify on IFR.

KEY SPREADS

Measure	Level	Move	Direction
iTraxx Main	n/a	n/a	n/a
iTraxx Crossover	n/a	n/a	n/a
CDX IG	n/a	n/a	n/a
Euro corporate IG avg spread	n/a	n/a	n/a
US IG index (ref., 29 Sep)	84bp over Treasuries; yield 5.97%	n/a	n/a

Positioning commentary (late August) flagged iTraxx Main underperforming CDX IG, with widening risk as oil nears 100 dollars. No sourced levels today.

COMMENTARY

The window looks open for IG and financials, with the ESB and BAWAG books showing solid demand at MS+85 to +92. Headwinds: euro and US yields at multi-year highs, hot euro-area inflation and ECB hike risk could push new-issue concessions wider. Energy-sensitive European credit stays exposed to oil near 100 dollars. Industrials, transport and energy deal detail: n/a.

10. ECONOMIC CALENDAR

Time (London)	Indicator	Consensus	Importance
Intraday	Eurozone manufacturing PMI (final, Sep)	n/a	Medium
Intraday	UK manufacturing PMI (final, Sep)	n/a	Medium
12:30	US initial jobless claims	201K (prev 197K)	Medium
12:30	US continuing claims	1,730K (prev 1,719K)	Medium
14:00	US ISM manufacturing PMI (Sep)	54.8 (prev 54.6)	High
14:45	S&P Global US manufacturing PMI (final)	n/a	Medium

US times converted from ET (+5h). Eurozone and UK release times and consensus not confirmed by search. Friday: Eurozone flash CPI, forecast 3.6%.

11. CORPORATE EVENTS & EARNINGS

- **Accenture (ACN)**: Q4 results about 11:40 London. Consensus EPS 3.19, revenue 18.01bn dollars.
- **Nike (NKE)**: results after US close, about 21:15 London. Consensus EPS 0.44, revenue 11.40bn dollars.
- **Micron (MU)**: fiscal Q4 reported after the 30 Sep close. Consensus EPS about 31.60 to 31.82, revenue 51.25bn dollars. Result n/a at collection.
- **Greggs (GRG LN)**: raised profit view (30 Sep). Further European earnings and AGMs for today: n/a.

12. STOCKS TO WATCH

Name	Reason	Probable direction
UniCredit / Commerzbank	German government sets conditions on control of Commerzbank	Volatile, bias up for CBK
ArcelorMittal	Considering BRL 5bn Pecem steel mill expansion	Neutral to positive
Greggs	Raised profit view	Up
Accenture	Q4 results before the US open	Two-way
Nike	Results after US close; read-across for European sportswear	Two-way
Micron and chip equipment (ASML, etc.)	Micron results after close; tech led yesterday	Two-way, follows result
Lundbeck	Mulling Xeris Biopharma deal	Up on M&A
Banks (euro area)	Hot CPI lifts ECB hike odds and yields	Up

Aviation, shipping, mining and defense names: no sourced catalysts today. Oil near 97 to 98 dollars is a headwind for airlines and a tailwind for energy.

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

- Fed raised rates 25bp to 3.75%-4.00% in September (first hike since 2023). Williams: no urgency, another hike possible late 2026. Markets tilt to a hold in October.
- US PCE 3.4% in August vs 3.7% expected. Core PCE has run above 3% every month of 2026.
- Euro-area national CPI hotter than forecast (Spain 5%). ECB projections: headline 3.4% in 2026. Rate-hike bets rising.
- US 10Y yield 5.29%, highest in about 19 years. Bund 3.57%.

CORPORATE

- UniCredit holds just under 50% of Commerzbank; Berlin wants commitments before backing control.
- Micron, Accenture and Nike earnings in the next 24 hours set the tone for tech and consumer.
- ArcelorMittal weighing BRL 5bn Brazilian steel investment; Lundbeck mulling Xeris deal.

POLITICAL / GEOPOLITICAL

- Iran war: Hormuz crude flows near pre-war levels, Iran has lost some leverage but demands unchanged. US Navy blockade of Iran continues.
- EU-China tariff exchange adds to trade friction (autos, luxury exposed).
- Trump says tech leaders agreed voluntary AI safety standards.

14. KEY THEMES — TOP 5 BY HORIZON

| TODAY'S TOP 5

Yields and CPI: US 10Y 5.29% and hot euro-area inflation set the tone for rate-sensitive sectors.

US ISM manufacturing (14:00): Consensus 54.8; a strong print would push yields up again.

Micron read-through: Chip result after the close drives tech and semi equipment in Europe.

Oil near 97 to 98 dollars: Hormuz headlines drive energy, airlines and euro credit.

UniCredit and Commerzbank: Berlin's conditions steer European bank sentiment.

| THIS WEEK'S TOP 5

Eurozone flash CPI (Fri): Forecast 3.6%; decides ECB hike pricing.

US September payrolls (Fri, date to verify): Key input for the Fed's hold-or-hike view in October.

Nike and Accenture results: Consumer and IT services demand check.

Quarter-start bond supply: Tests investor appetite with yields at multi-year highs.

Hormuz and Iran negotiations: Oil direction and insurance costs.

| THIS MONTH'S TOP 5

Fed October meeting: Hold versus another hike after September's move.

ECB October meeting: Hike risk with inflation above 3%.

Q3 earnings season start: Margin pressure from energy and financing costs.

UniCredit-Commerzbank outcome: Government conditions and offer next steps.

Oil and Hormuz normalisation: Pricing of energy risk in euro credit and inflation.

Event dates beyond those sourced above (payrolls, central bank meetings) follow standard calendars and should be verified.

15. KEY TRENDS TO WATCH

1 DAY

- ISM manufacturing at 14:00 London and jobless claims at 12:30.
- Micron post-results tone for tech.
- Oil headlines on Hormuz.

1 WEEK

- Eurozone flash CPI Friday and its ECB implications.
- US labour data and Fed pricing.
- Bank M&A: UniCredit and Commerzbank.

1 MONTH

- Fed and ECB October meetings with both in hike-risk mode.
- Q3 earnings season and guidance on energy costs.
- Yield levels: US 10Y near 19-year high, Bund 3.57%.

Sources: CNBC, Yahoo Finance, ABC News / AP, Trading Economics, MarketScreener, Sharecast / BBN Times (FTSE), Newsquawk, Bloomberg, FXStreet, Euronews, Investing.com, Fed / ECB releases via search.

Data collected automatically. Verify before making any decision.